THE DOLLAR BRIEF · OCTOBER 2026

# Is America trading *its dollar for time?*

A plain-English overview of Andrei Jikh's video **"America Is Sacrificing The Dollar"** (August 25, 2026), with the big numbers checked against public sources.

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Summary and fact check, October 16, 2026. Educational only, not financial, legal or tax advice.

01 · THE SHORT VERSION

# The video's argument in five lines

Jikh argues that the dollar's special status is fading, that the government is quietly changing how it borrows, and that savers holding "safe" bonds will pay for it through inflation.

1. **The world is buying fewer U.S. bonds.** Foreign central banks have been adding gold rather than Treasuries since the U.S. began using the dollar as a sanctions weapon.
2. **Borrowing is getting more expensive.** The debt passed $40 trillion and interest now costs over $1 trillion a year, so investors demand higher rates on long-term bonds.
3. **Washington is shifting to short-term debt.** Short-term bills track rates the Federal Reserve sets, while long-term rates are set by the market.
4. **Stablecoins could be the new buyer.** Under the GENIUS Act, dollar stablecoins must be backed by things like short-term Treasury bills.
5. **Savers pay quietly.** If inflation runs above the interest people earn, the debt shrinks in real terms while bondholders lose buying power. This is what happened after World War II.

### How to read this brief

Each big claim in the video is tagged with what we found:

CHECKED matches public sources PARTLY TRUE real but overstated or missing context NOT CHECKED we couldn't confirm it

**Know the source.** This is a YouTube finance video, not a research report. It carries a paid sponsor segment and affiliate links (brokerage, crypto, phone plan), and it ends by pitching a paid membership. The video's own disclaimer calls it opinion and entertainment. The ideas are worth understanding, but the conclusions are the creator's own.

02 · THE "RESOURCE CURSE"

# Why would anyone want to give up the world's money?

The dollar is the world's reserve currency: the money other countries save in, settle trade in, and hold as bonds. That has been called America's "exorbitant privilege."

> ***"I think there is a good argument that reserve currency status is akin to coal and Appalachia. It's a resource curse."***
>
> JD Vance, speaking to the group American Moment in 2023, before he was vice president. As reported by Semafor. CHECKED

## The Appalachia story the video uses

In the late 1800s, land agents bought mineral rights in West Virginia and Kentucky for about a dollar an acre. Billions of dollars of coal left those counties, which collected little tax on the mineral wealth. When the coal ran out, the money was already gone, and many of those counties are still among the poorest in the country.

## How that maps onto the dollar

### The upside

Because the world needs dollars, the U.S. can borrow cheaply and import goods cheaply. Strong global demand for Treasuries has kept interest rates lower than they would otherwise be.

### The "curse"

A strong dollar makes U.S.-made goods expensive abroad. Vance's argument is that this helped hollow out manufacturing, so the country got very good at producing money and less good at producing things.

Treasury Secretary Scott Bessent has also described a "slow motion de-dollarization." He suggests the dollar could rally first, a "dollar thirst before a dollar boycott," as countries and companies repay their dollar debts. That quote comes from the video and was not independently checked. NOT CHECKED

03 · THE CRACK IN THE SYSTEM

# The "automatic buyer" is stepping back

For decades, foreign central banks bought Treasuries almost by default. The video says that began to change around 2014, when the U.S. used the dollar more aggressively as a sanctions tool.

**27%**
Gold's share of central bank reserves at end of 2025, up from 20% a year earlier (ECB report via the Financial Times)

**22%**
U.S. Treasuries' share, down from 25%. Gold now leads Treasuries as a single asset.

**42%**
All dollar assets combined, still the biggest share. The dollar is shrinking, not finished.

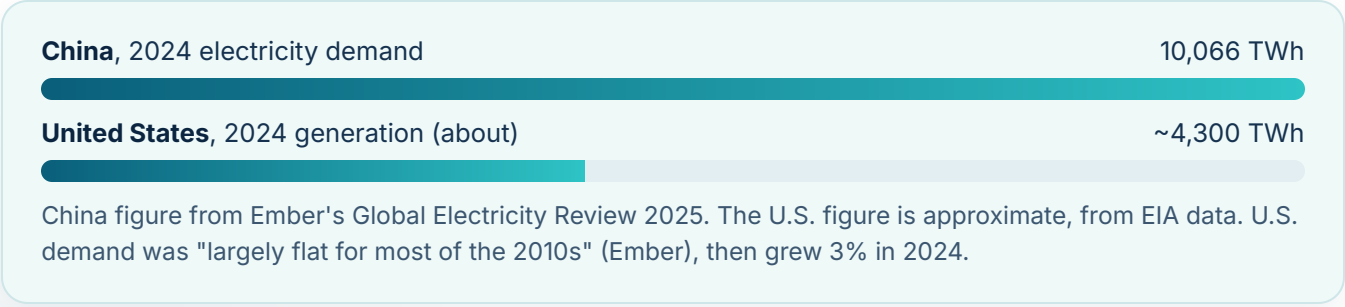
## The weaponized dollar

In 2014, the French bank BNP Paribas paid a fine of about $8.9 billion for breaking U.S. sanctions. In a 2023 podcast, Bessent recalled a consultant who called it "untenable" that the U.S. could reach into an ally's banks through the dollar. After Russia's dollar reserves were frozen in 2022, central bank gold buying topped 1,000 tons a year for three years running, then slowed to about 850 tons in 2025.

PARTLY TRUE The video says gold has "overtaken every other reserve asset." Gold has passed Treasuries, but dollar assets as a group are still larger.

## The electricity test

The video uses electricity as a rough gauge of how much real stuff an economy makes. It says the U.S. made no more power in 2024 than in 2004, while China went from less than half of U.S. output to more than twice it.




China figure from Ember's Global Electricity Review 2025. The U.S. figure is approximate, from EIA data. U.S. demand was "largely flat for most of the 2010s" (Ember), then grew 3% in 2024.

PARTLY TRUE U.S. output was roughly flat from about 2007 to 2023. The point stands, but "zero growth since 2004" overstates it, because 2024 came in a few percent higher.

04 · YOUR MONEY, MEASURED DIFFERENTLY

# Up in dollars, down in gold

The video's most striking idea: if the ruler you measure with shrinks, everything looks bigger. Price your investments in gold instead of dollars and many "gains" disappear.

### The video's examples (its own figures)




NOT CHECKED These figures come from the video. The direction makes sense, since gold hit a record above $5,500 an ounce in January 2026. The exact size depends heavily on which start and end dates you pick.

## What "nominal" and "real" mean

**Nominal** is the number on your screen: your balance in dollars. It can rise even while you're falling behind.

**Real** is what that money can actually buy after inflation. Gold is one yardstick. The CPI (the official price index) is another, and the two can tell very different stories.

## Why this matters to regular people

Retirees and pension funds are often steered into bonds because they're "safe." They do get every interest payment they were promised. But if prices rise faster than that interest, their money buys less each year. The video calls this one of the biggest wealth transfers in a generation, and one most people feel at the grocery store and gas pump without seeing it on a statement.

A fair counterpoint: gold is volatile. It fell roughly 45% between 2011 and 2015. Measuring in gold flatters gold during gold booms.

05 · THE DEBT MATH

# When the bills grow faster than the paycheck

**$40.05T**
Total U.S. public debt on Aug 18, 2026, the first close above $40 trillion (Treasury, via the Irish Times) CHECKED

**~$1.1T**
Interest paid each year on the debt. In fiscal 2026 it passed Medicare and now trails only Social Security. CHECKED

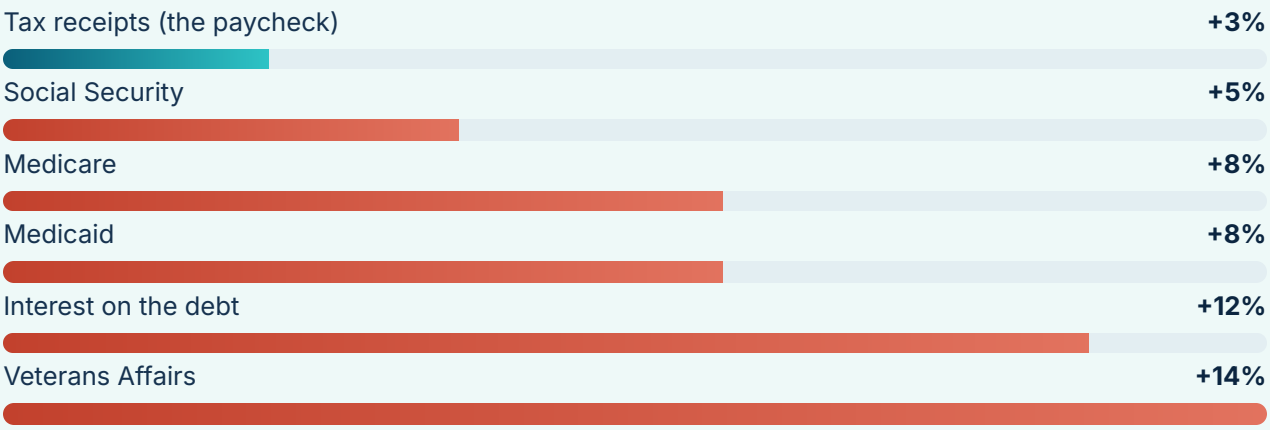
**5.31%**
30-year Treasury yield on Aug 17, 2026, the highest since 2007 CHECKED

## The household version

Jikh's analogy: you earn $100,000, but four bills you can't cancel (mortgage, a parent's nursing home, your kids' medical care and credit card minimums) add up to $105,000, before groceries or gas. For the government, those four are **Social Security, Medicare and Medicaid, veterans' benefits, and interest**. He puts them at about 105% of tax receipts.

NOT CHECKED

### Growth, first 11 months of fiscal 2026 vs. a year earlier (CBO, via Fox Business)




CHECKED The video's core point, that the must-pay bills are growing faster than income, matches CBO's numbers. The 11-month deficit was about $2 trillion.

## Why it can spiral

Higher rates mean bigger interest bills, which mean more borrowing, which means even more interest. Every long bond sold at 5% locks in that cost for 30 years. That loop is what economists call a debt spiral. When the Treasury stepped in with buybacks in August, long-term yields dipped and then climbed back within days (CNBC, Aug 21).

06 · THE "MASTER PLAN" (A THEORY)

# Four steps, according to the video

There are two interest rates. The Federal Reserve steers short-term rates on debt due in weeks or months. The market sets long-term rates on 10- and 30-year bonds. The theory is that Washington is moving its borrowing to the side it can control.

1. **Shift borrowing to short-term bills.** Treasury has kept long-term auction sizes flat while total borrowing rises, so bills make up the difference. Bills were about 22% of marketable debt in late July, above the 15–20% range Treasury's advisers recommend (Forbes). CHECKED

2. **Buy back long bonds.** In August, Treasury doubled its buyback operations from up to $2 billion to at least $4 billion each, targeting bonds with 10–30 years left. Officials said its roughly $950 billion cash account (the TGA) could help fund them, but didn't commit to an amount. CHECKED

3. **Build a giant buyer that doesn't haggle.** The GENIUS Act, signed in July 2025, requires dollar stablecoins to be backed by safe assets, including Treasury bills that mature in 93 days or less. People in countries with collapsing currencies may hold dollar stablecoins for safety, not yield. CHECKED

4. **Let inflation run a little hot.** If bonds pay 2% and inflation runs at 6%, holders lose about 4% of their buying power a year. That's a "negative real interest rate," and it shrinks the debt without a crisis or a headline. NOT CHECKED This step is the video's interpretation of intent. There's no official plan saying so.

**Opinion vs. fact.** Steps 1–3 are documented actions. Whether they add up to a deliberate plan to inflate the debt away is Jikh's reading. Officials describe the buybacks as supporting a smoothly working bond market. The video's more specific figures (the 4-week bill doubling from $47B to $94B, nine straight quarters of flat coupon auctions, and $1.4 trillion of borrowing in six months) couldn't be confirmed here against Treasury's own refunding documents. NOT CHECKED

07 · IT HAS HAPPENED BEFORE

# How America shrank its World War II debt

After 1945, U.S. debt was about as large relative to the economy as it is today. Within about a decade it was roughly cut in half, without the government paying it off.

### What the research says

Economists Carmen Reinhart and M. Belen Sbrancia studied this period in "The Liquidation of Government Debt." For the U.S. and U.K., negative real interest rates cut government debt by an average of **3–4% of GDP per year**. Across the advanced economies they studied, real rates were negative **roughly half the time from 1945 to 1980**. They call this "financial repression." CHECKED

### What the video adds

Jikh says real rates hit about −13% and that bondholders lost "a half to two-thirds" of their money in five years. Inflation spiked sharply in 1946–47, so deeply negative real rates for a short stretch are realistic, but the exact losses weren't confirmed. PARTLY TRUE

## The tools used then

- **Capped rates.** The Fed held Treasury yields low until the 1951 Treasury–Fed Accord.
- **Captive buyers.** Banks, pension funds and insurers held large amounts of government bonds.
- **Inflation above the interest rate,** plus strong postwar growth, which did much of the work.

## What's different now

- Growth was very fast after the war. Today's growth is slower, and an aging population is driving Social Security and Medicare costs.
- Foreign buyers now hold a much larger share of U.S. debt, and they can sell.
- Markets are global and fast. Investors can demand higher rates immediately, as the 30-year bond showed in August.

08 · FACT CHECK

# Claim by claim

| THE VIDEO SAYS | WHAT WE FOUND | STATUS |
|---|---|---|
| **National debt crossed $40 trillion** | $40.047T on Aug 18, 2026 (Treasury daily statement). | CHECKED |
| **Vance called reserve status a "resource curse," like coal in Appalachia** | Said in 2023 to American Moment, while a senator. | CHECKED |
| **30-year yield at its highest since 2007** | About 5.31% on Aug 17, 2026. | CHECKED |
| **Treasury doubled buybacks from $2B to $4B** | From up to $2B to at least $4B per operation, announced Aug 20. | CHECKED |
| **Up to $950B of the TGA could fund buybacks** | Officials said the roughly $950B cash account is "available," but committed to no amount. | PARTLY TRUE |
| **Yields fell for only about 24 hours** | CNBC: the buyback rally "fizzles out" (Aug 21). The 30-year went from 5.31% to 5.19%, then rose again. | CHECKED |
| **Gold overtook every other reserve asset** | It overtook Treasuries (27% vs 22%). Dollar assets overall are still 42%. | PARTLY TRUE |
| **No more U.S. electricity in 2024 than in 2004** | Roughly flat from about 2007 to 2023. 2024 came in a few percent higher than 2004. | PARTLY TRUE |
| **China now makes more than twice U.S. power** | China's 2024 demand was 10,066 TWh, versus U.S. generation of about 4,300 TWh. | CHECKED |
| **Interest is about $1 trillion a year** | About $1.1T, now second only to Social Security. | CHECKED |
| **Must-pay bills grow faster than revenue** | FY26 so far: receipts +3%, versus Social Security +5%, Medicare and Medicaid +8%, interest +12%. | CHECKED |
| **Those four bills are about 105% of receipts** | Not confirmed from a primary source. | NOT CHECKED |
| **Bills are about 22% of the debt** | 22.2% of marketable debt in late July. | CHECKED |
| **Stablecoins must hold short-term Treasuries** | GENIUS Act (July 2025): reserves include T-bills of 93 days or less. | CHECKED |
| **4-week bill went from $47B to $94B per auction** | Not confirmed. Check TreasuryDirect auction results. | NOT CHECKED |
| **Priced in gold: Nasdaq −23% over 5 years, S&P −50% since 2000** | Plausible given gold's run, but depends on dates. Not recomputed. | NOT CHECKED |
| **Post-WWII real rates −13%, bondholders lost half or more** | Financial repression is well documented (3–4% of GDP a year). The exact losses weren't confirmed. | PARTLY TRUE |

09 · WHAT THIS MEANS FOR YOU

# Questions to ask, not trades to make

Nothing here says what to buy or sell. These are ways to think more clearly about your own money, and to talk with a professional who is legally required to act in your interest.

### 1. Know your real return

Compare what your savings, CDs or bonds pay with the current inflation rate (CPI). If interest is below inflation, your money is losing buying power, even as the balance grows.

### 2. Watch a few numbers

Track inflation, the 10- and 30-year Treasury yields, the price of gold, the national debt and the Fed's rate. The Main Street Agent dollar tracker shows these from official sources.

### 3. Learn the tools that exist

Know what I Bonds and TIPS (inflation-protected Treasuries), high-yield savings, money market funds, index funds and gold are, and what the risks of each are, before anyone sells you one.

### 4. Ask a fiduciary

Fee-only fiduciary advisers must put your interests first. Ask: "How do you get paid?" and "How does this hold up if inflation stays high?"

### Red flags this kind of fear can attract

- **"Move your 401(k) into a gold IRA today."** High fees, markups and pressure tactics are common. Regulators warn about them.
- **Options, leverage or margin "to protect yourself."** Options such as puts can lose everything you put in, and leverage can lose more. Learn how they work before risking any amount.
- **Anyone promising guaranteed returns** or saying "the dollar will collapse next month." Nobody knows the timing.

This brief is educational. It isn't financial, investment, legal or tax advice, and it doesn't consider your situation.

# A plain-English glossary

| | |
|---|---|
| **Reserve currency** | A currency that central banks around the world hold in large amounts and use for trade and savings. The dollar has held this role since the 1944 Bretton Woods agreement. |
| **Treasury bond, note, bill** | IOUs from the U.S. government. Bills mature in a year or less, notes in 2–10 years, and bonds in 20–30 years. |
| **Yield** | The interest rate investors actually earn on a bond at today's price. When yields rise, borrowing costs rise and existing bond prices fall. |
| **Auction** | How the Treasury sells new debt. Weak demand means it has to offer higher yields. |
| **Buyback** | When the Treasury repurchases its own older bonds before they mature. |
| **TGA** | The Treasury General Account, the government's checking account at the Federal Reserve. |
| **Short end / long end** | Short-term versus long-term interest rates. The Fed strongly influences the short end, and the market sets the long end. |
| **Nominal vs. real** | Nominal is the dollar number. Real is what it can buy after inflation. |
| **Negative real rate** | When interest paid is below inflation, so savers lose buying power while still collecting interest. |
| **Financial repression** | Policies that keep rates below inflation so government debt shrinks over time, paid for by savers. |
| **Stablecoin** | A crypto token meant to stay worth $1, backed by reserves. In the U.S. it is regulated by the GENIUS Act. |
| **De-dollarization** | Countries reducing their use of the dollar for trade and reserves. |
| **Debt spiral** | When interest costs grow faster than the economy, forcing more borrowing, which raises interest costs further. |
| **Fiduciary** | An adviser legally required to act in your best interest, not just recommend "suitable" products. |

11 · SOURCES

# Where the numbers come from

Checked October 16, 2026. Figures change, so the dollar tracker pulls the latest from official sources.

- **The video:** Andrei Jikh, "America Is Sacrificing The Dollar," YouTube, Aug 25, 2026 (transcript).
- **Debt above $40T:** Irish Times, Aug 19, 2026, citing the Treasury's daily statement · irishtimes.com/business/2026/08/19/us-debt-tops-40tn-threshold...
- **Vance remarks:** Semafor, Aug 20, 2026 · semafor.com/article/08/20/2026/vance-takes-his-first-economic-criticism...
- **Buybacks and bills share:** Forbes, Aug 22, 2026 · forbes.com/sites/jamesbroughel/2026/08/22/treasury-is-buying-its-own-bonds...
- **TGA and buybacks:** Quartz, Aug 24, 2026, citing CNBC · qz.com/treasury-general-account-bond-buybacks-082426
- **Buyback rally fades:** CNBC, Aug 21, 2026 (headline) · cnbc.com/2026/08/21/treasury-yields-bonds-inflation-rates.html
- **30-year yield 5.31%:** Modern Action briefing, Aug 18, 2026 · modernaction.io/briefing/30-year-treasury-yield-tops-531...
- **Gold vs. Treasuries in reserves:** MiningMX, Jun 2, 2026, citing the FT and an ECB report · miningmx.com/news/gold/2026-06-02-gold-overtakes-us-treasuries...
- **Electricity:** Ember, Global Electricity Review 2025 · ember-energy.org/latest-insights/global-electricity-review-2025/... · U.S. Energy Information Administration, Monthly Energy Review, Section 7 · eia.gov/totalenergy/data/monthly
- **Spending growth FY2026:** Fox Business, citing CBO's monthly budget review · foxbusiness.com/politics/federal-budget-deficit-reaches-2-trillion...
- **Interest about $1T:** Committee for a Responsible Federal Budget, citing CBO · crfb.org/blogs/interest-debt-grow-past-1-trillion-next-year
- **GENIUS Act reserves:** Paxos explainer · paxos.com/blog/genius-act
- **Post-WWII debt liquidation:** Reinhart & Sbrancia, "The Liquidation of Government Debt," PIIE / BIS · piie.com/publications/working-papers/liquidation-government-debt
- **Live data to check yourself:** Treasury Fiscal Data (debt to the penny) · fiscaldata.treasury.gov · FRED (yields, CPI, dollar index) · fred.stlouisfed.org · TreasuryDirect auctions · treasurydirect.gov

THE TAKEAWAY

# A bigger number isn't always more money.

Measure your savings by what they can buy. Watch the numbers that matter, ask a fiduciary the hard questions, and be wary of anyone selling certainty.

See where the dollar stands today, with live debt, inflation, yields and gold from official sources.

**Open the Main Street Agent dollar tracker →**

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